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which plans to set up a hospital network in rural and semi-urban areas across the country to offer low-cost primary and secondary care services.

Now, in its sixth year of operations, Aavishkaar will have increased its corpus to Rs 64.5 crore from Rs 21.5 crore by the end of the year. Rai is also planning to step up investment from an earlier range of Rs 5 lakh to Rs 50 lakh per company to a range of Rs 10 lakh to Rs 2 crore. It has also launched Aavishkaar Goodwill, which will provide equity capital to microfinance organisations. The higher the risk in social venture capital, the higher the return—such investment may not be initially profitable due to its long gestation period, but it is also

potentially scalable. According to industry observers, Aavishkaar can make higher returns than its peers—at least six to seven times that of its investment, although Rai says it's closer to 12-14 per cent.

Rai, it seems, has a constant thirst for charting new territory. He started his career with paper manufacturer Ballarpur Industries (BILT) where he worked for three-and-a-half years. This included a posting in a remote part of Orissa where he saw absolute poverty up close—it influenced his decision to help people earn a living. In 1998, the Government of Gujarat and UM Ahmedabad started Grassroots Innovations Augmentation Network, a rural business incubator, and 26-year old Rai was

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We are a social venture capital fund that makes a difference to the lives of people. We seek optimised, not maximised, profits.

VINEET RAI, CEO, Aavishkaar

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FUNDING INNOVATION:
Vineet Rai at an office of
Net Systems, which makes
software for the disabled

appointed its CEO. He soon realised that there was zero funding for small business, particularly those enterprises emerging in rural areas and decided to set up a social venture capital fund. He pitched the idea to a group of Indians living in Singapore and Aavishkaar was born. But it wasn't easy raising money as the concept of social venture capital did not exist in the country. "In 2001 with tech companies going bust, the vc industry had taken a hit. And there I was, walking around with a high-risk idea. Nobody had that kind of appetite."

It has been a rough ride for the intrepid entrepreneur. When Rai started Aavishkaar in 2002, he managed to raise Rs 50 lakh, but it took him four years to take it up to Rs 5.6 crore. Rai was so hardpressed for money that he found it tough to even pay for his child's education. He then started Intellectap, a development finance advisory company, to, as he puts it, "save my own skin". The company expects to make Rs 12.9 crore in revenues this year. By marrying principles of funding more at home in Silicon Valley to the needs of entrepreneurs in the hinterland, Rai's endeavours have handed a lifeline to rural enterprise. ■